HAREL INSURANCE & FINANCE · CLOUD INFRASTRUCTURE, DEVOPS & DATABASES

# Cloud Cost Summary

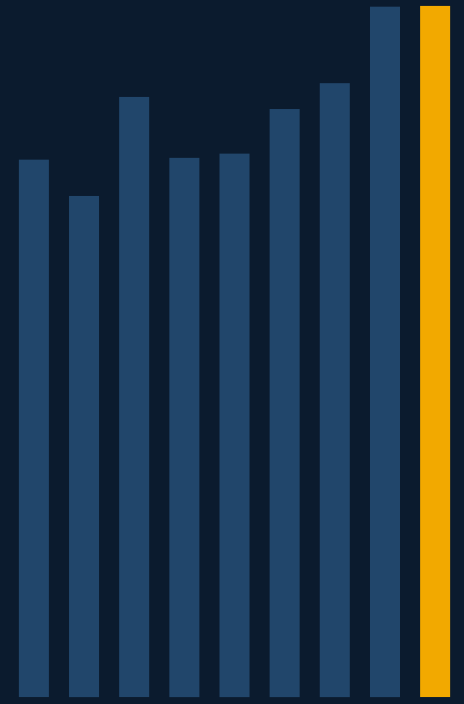
*FY2026 · January – September*

מחלקת תשתיות ענן, DevOps ובסיסי נתונים · אגף טכנולוגיות והגנת הסייבר

**$4.67M**
Total cloud, YTD

**$578K**
Savings delivered

**34%**
Of September spend is AI



MONTHLY CLOUD CONSUMPTION

Jan → Sep 2026

September 2026

HAREL Insurance & Finance

THE BOTTOM LINE

# Spend is up 22%, but every dollar of growth is AI

TOTAL CLOUD YTD

**$4.67M**

Consumption $2.31M
Committed $2.36M

CONSUMPTION RUN-RATE

**+22%**

Q1 avg $238K/mo →
Q3 avg $290K/mo

TRADITIONAL ESTATE

**–13%**

Non-AI spend fell
Q1 → Q3

SAVINGS DELIVERED

**$578K**

Realised $268K
Avoided $310K

## THREE THINGS TO TAKE AWAY

1 **AI went from $9K to $102K a month**

An 11× rise in nine months. At the September run-rate that is $1.22M a year — now 34% of all cloud consumption.

2 **The classic estate is shrinking**

Strip out AI and spend is down 13% Q1 to Q3. Rightsizing, RI purchases and the North Europe exit are landing.

3 **Two decisions are needed now**

The Databricks commitment is 29% used, and Azure raises prices in February 2027. Both hit the 2027 budget.

AGENDA

# What we will cover

**01** **Where the money goes**

Total spend, run-rate and the consumption vs. commitment split

**02** **AI & the Factory**

The fastest-growing line: Bedrock, Foundry, Copilot and the AI Factory

**03** **AWS**

$2.61M — accounts, services and Marketplace contracts

**04** **Azure**

$2.05M — cost centres, services, Databricks and coverage

**05** **Savings delivered**

$578K realised and avoided, plus a $190K pipeline

**06** **Risks & next steps**

Azure 2027 pricing, Databricks utilisation and the FinOps roadmap

*Detailed cost-centre and project breakdowns are in the appendix.*

# 01

# Where the money goes

Total spend, run-rate, and the split between what we consume and what we commit to up front.

TOTAL CLOUD SPEND

# Harel spent $4.67M on cloud in the first nine months of FY2026

AMAZON WEB SERVICES

**$2.61M**

Consumption $792K · Marketplace $1.82M

MICROSOFT AZURE

**$2.05M**

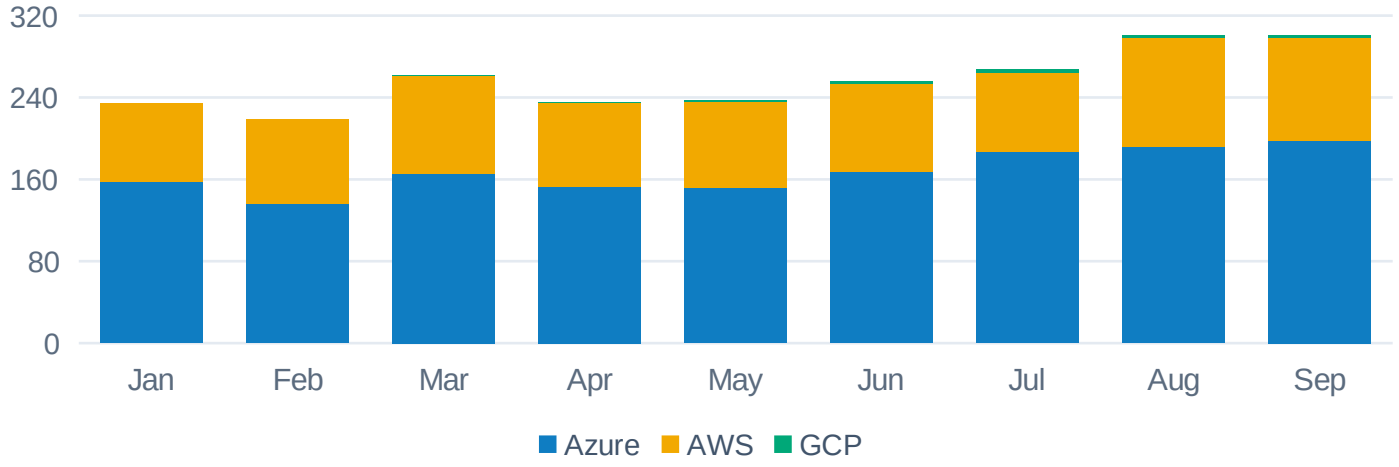
Consumption $1.51M · Marketplace $542K

GOOGLE CLOUD

**$14K**

New in March 2026 · Vertex AI pilot

## Monthly consumption by provider ($K)



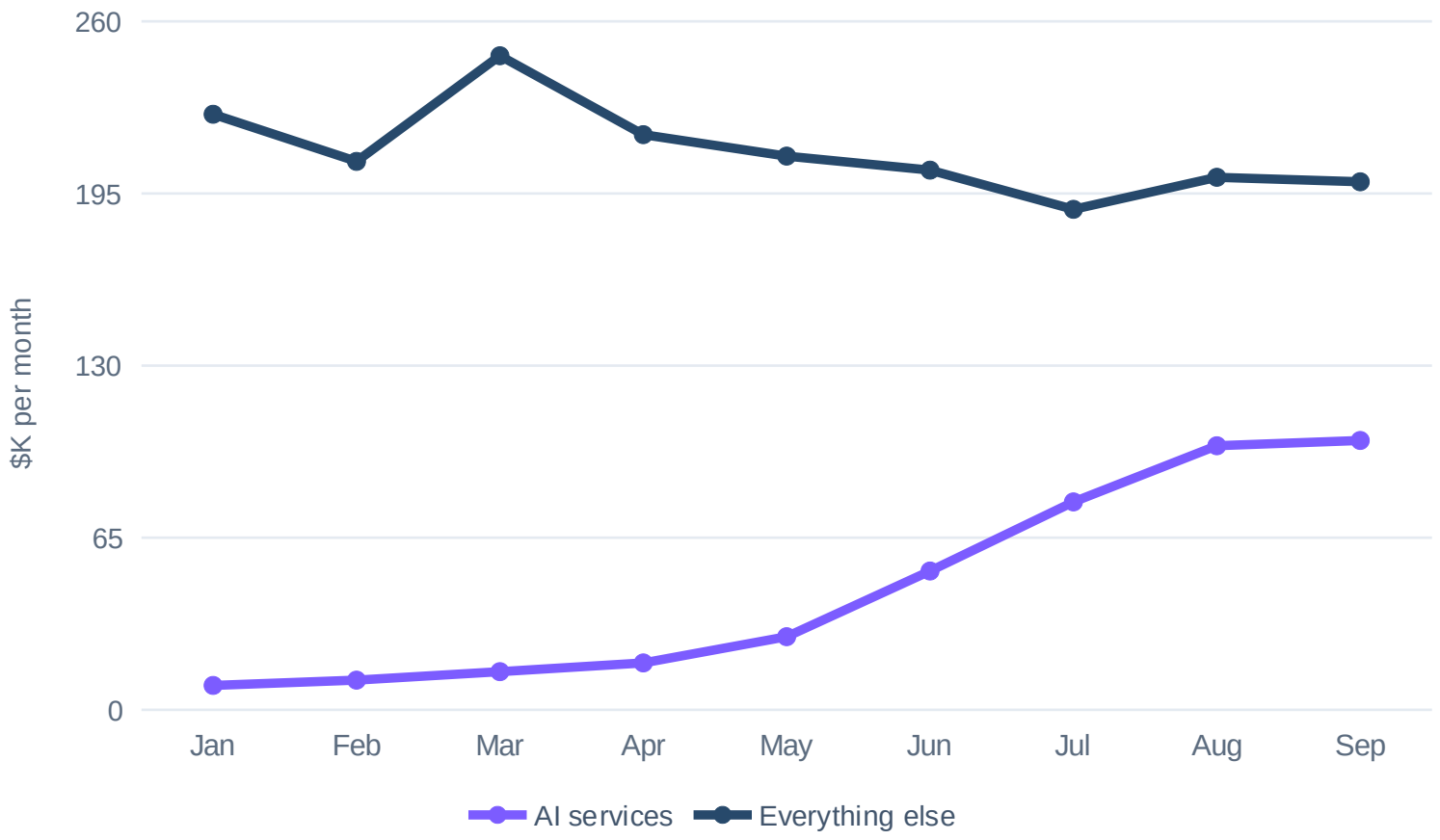

### How to read this

- **Consumption**
  $2.31M — the metered bill we can optimise month to month.
- **Committed**
  $2.36M — Marketplace and prepaid contracts, billed in lumps.
- **The trend**
  September was the highest consumption month of the year.

*Consumption excludes Marketplace charges. AWS is billed across two payer accounts.*

RUN-RATE

# All of the growth is AI — the traditional estate is shrinking




AI SERVICES

**+703%**

Q1 avg $12K/mo → Q3 avg $93K/mo

EVERYTHING ELSE

**–13%**

Q1 avg $226K/mo → Q3 avg $196K/mo

AI ANNUALISED

**$1.22M**

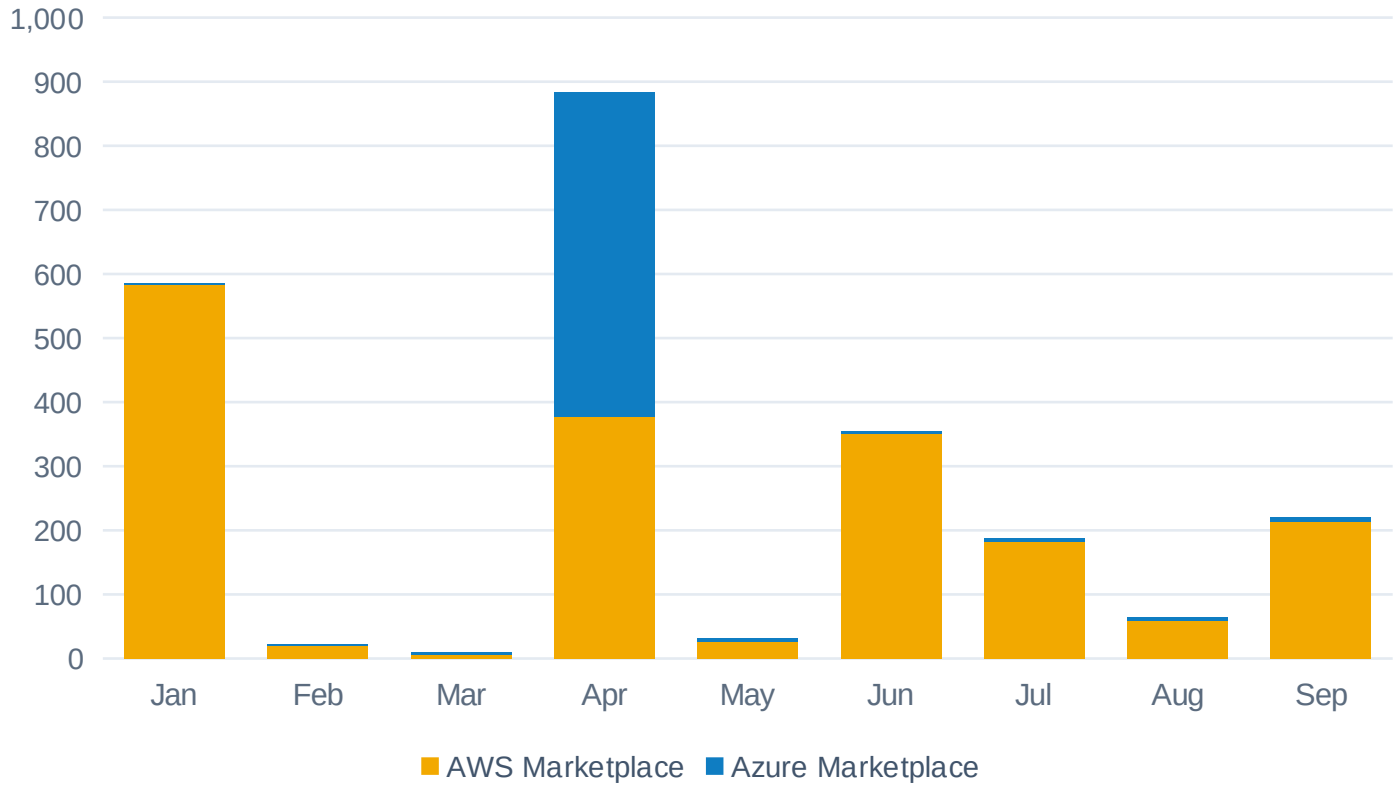
September run-rate × 12

*AI services = Amazon Bedrock, Azure AI Foundry, Copilot Studio, Azure Cognitive Search, GitHub Copilot and GCP Vertex/Gemini.*

COMMITTED PURCHASES

# $2.36M sits in Marketplace contracts, billed in a few lumps

## Marketplace & prepaid contracts by month ($K)




## Largest contracts, year to date

| | |
|---|---|
| Databricks P3 pre-purchase | $504K |
| Splunk | $365K |
| TrendAI security | $257K |
| MongoDB Atlas | $192K |
| CrowdStrike Falcon | $171K |
| F5 Distributed Cloud | $166K |
| JFrog (new, September) | $158K |
| Amazon Bedrock | $128K |

**Databricks alone is 21% of all committed spend**

*January and April carry the annual renewals; September is the new JFrog supply-chain contract.*

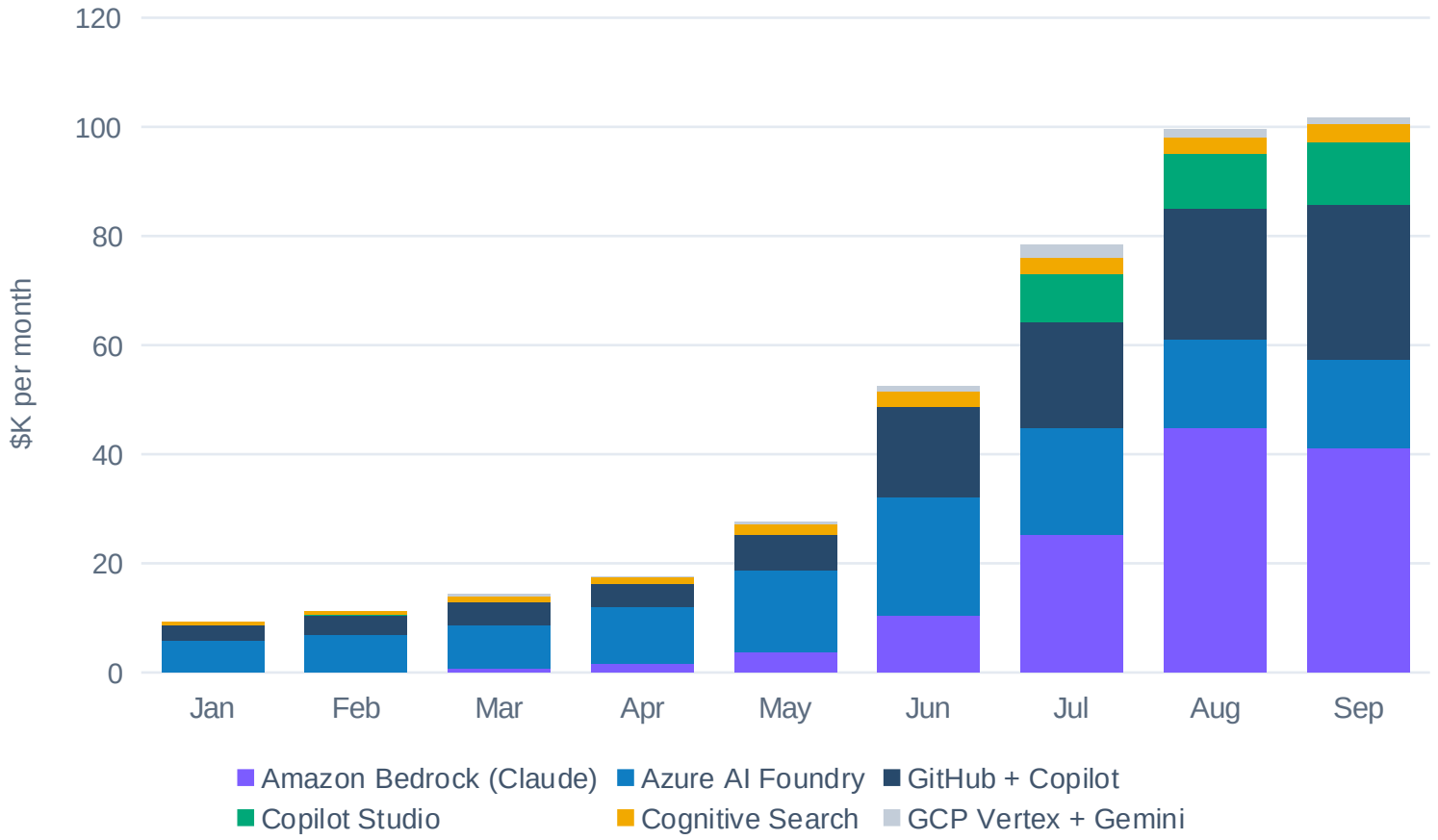
# 02

# AI & the AI Factory

Amazon Bedrock, Azure AI Foundry, Copilot and the AI Factory programme — $412K year to date and the only line that is growing.

AI SPEND

# AI grew 11× in nine months and is now a third of the cloud bill




AI SPEND, YTD

**$412K**

18% of all consumption

SEPTEMBER ALONE

**$102K**

vs $9K in January

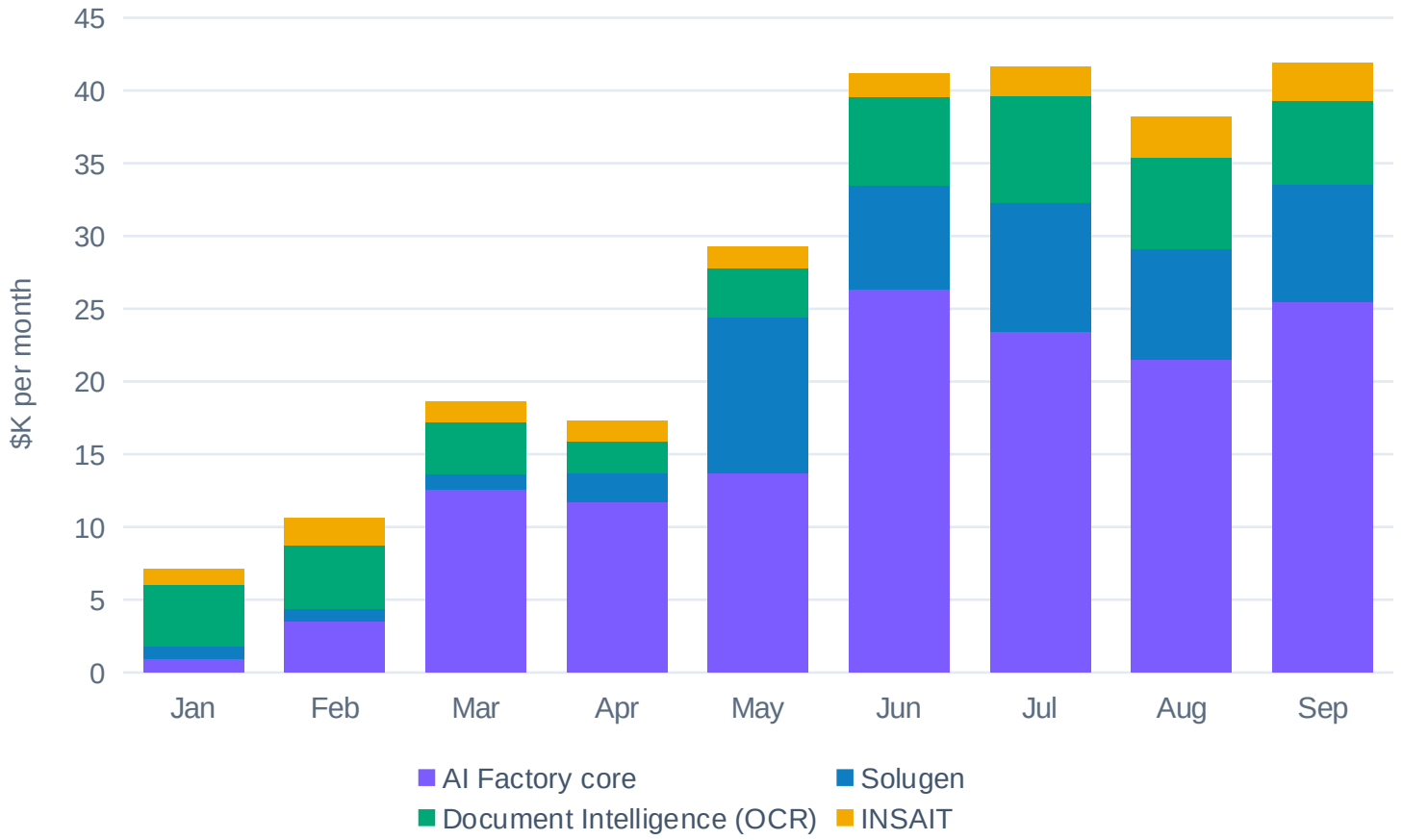
OF SEPTEMBER SPEND

**34%**

was AI services

*Bedrock is billed through AWS Marketplace; Foundry, Copilot Studio, Cognitive Search and GitHub through Azure.*

# The AI Factory programme has consumed $246K across four projects




## Year to date by project

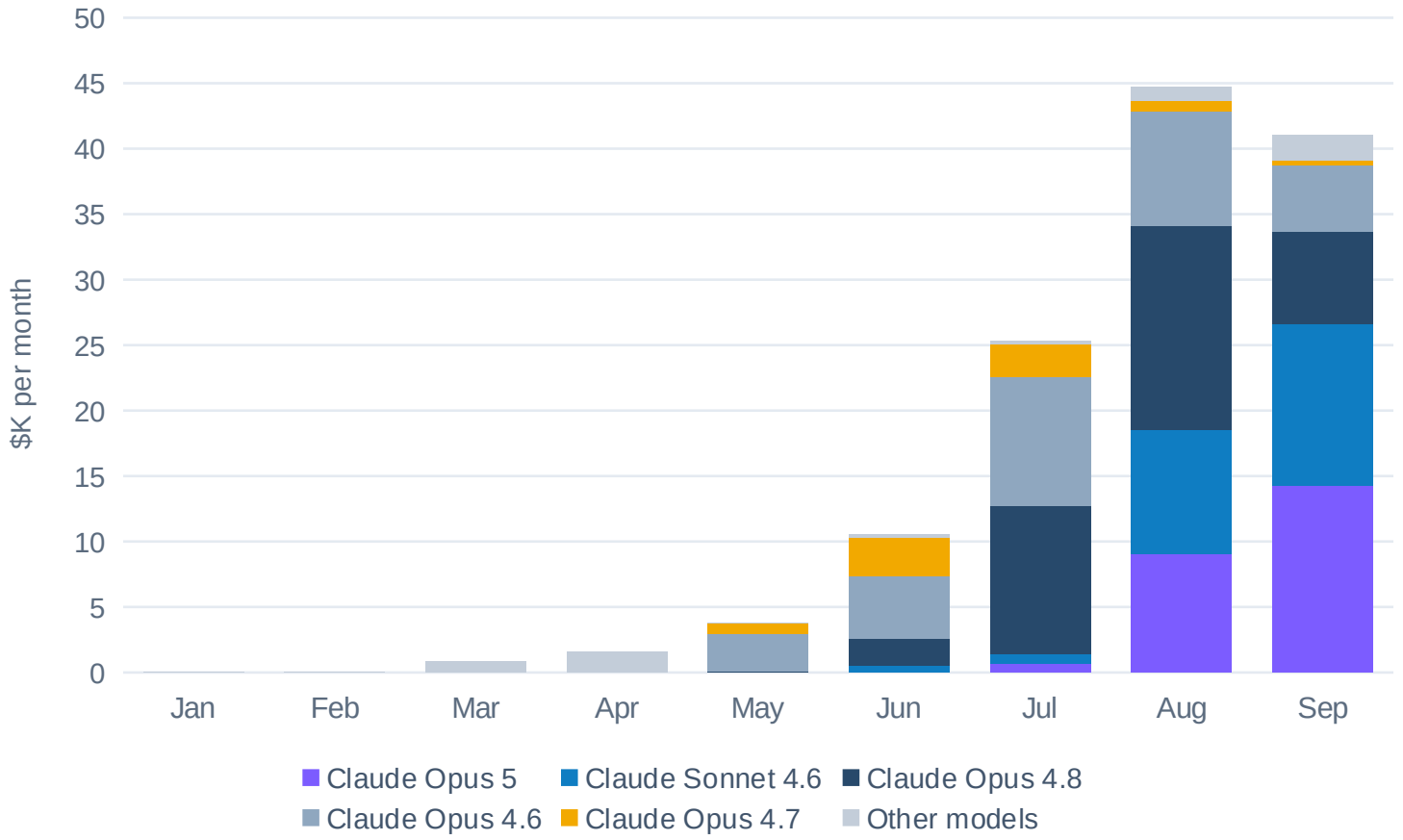
- AI Factory core — **$139K**
  57% of programme
- Solugen — **$47K**
  19% of programme
- Document Intelligence (OCR) — **$43K**
  18% of programme
- INSAIT — **$16K**
  7% of programme

**$246K** total programme spend

*AI Factory spend spans several Azure cost centres; project view is the planning unit, cost centre is the billing unit.*

AMAZON BEDROCK

# Bedrock reached $41K in September, with newer models taking over




BEDROCK YTD

**$128K**

Billed via AWS Marketplace

ON LATEST MODELS

**65%**

Opus 5 + Sonnet 4.6, September

GROWTH SINCE MARCH

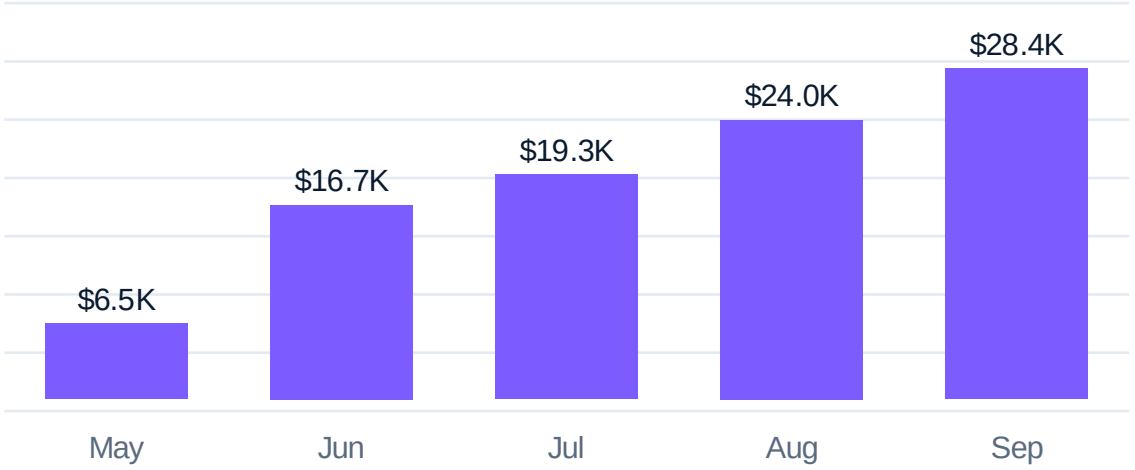
**49×**

$0.8K → $41.1K per month

*Model mix is shifting to Opus 5 and Sonnet 4.6 — a routing and governance decision as much as a cost one.*

# GitHub is now $28K a month, and AI credit is the fast part

## GitHub billed through Azure ($K per month)




### AI credit budget — enterprise harel-ins

$2,960 spent of $4,000 · 74%

Hard stop enabled

## Anatomy of the GitHub bill · June 2026 invoice

| | |
|---|---|
| **GitHub Enterprise**<br>~170 licences | **$3,574** |
| **Copilot Business**<br>~160 licences | **$3,044** |
| **AI credit (GAC)**<br>214,924 credits · 217 active users | **$2,149** |

### Where the AI credit goes

Claude Opus 4.6 is 75% of all AI-credit consumption, and a single cost centre (HR) accounts for 73%. Model routing and a per-user quota of ~1,900 credits are the two levers.

*Licensing is 75% of the GitHub bill and AI credit 25% — but the credit line is the one compounding.*

# Four controls to bring AI spend under the same discipline

## 1 Tag every AI service

Complete resource tagging by Service, Application, Cost Centre and Environment — including AI Gateway and AWS Bedrock / Claude CLI — so AI can be charged back like any other service.

**In progress** Owner: Ariel Oral

## 2 Budgets with a hard stop

The GitHub AI-credit budget already stops usage at its ceiling. Extend the same pattern to Azure AI Foundry and Amazon Bedrock before the FY2027 ramp.

**Planned** Owner: Cloud Infrastructure

## 3 Model routing policy

Opus-class models carry two thirds of both Bedrock and GitHub AI spend. Define which workloads justify a frontier model and route the rest to Sonnet or Haiku tiers.

**Proposed** Owner: AI Factory + FinOps

## 4 Per-user and per-project quotas

Publish a monthly credit allowance per developer (~1,900) and a project-level ceiling, with consumption visible to the owning cost centre.

**Proposed** Owner: AI Factory + FinOps

# 03




# Amazon Web Services

$2.61M year to date — $792K of metered consumption and $1.82M of Marketplace contracts across two payer accounts.

# AWS consumption is flat; Marketplace contracts move the total

**CONSUMPTION YTD**

**$792K**

$88K average per month

**MARKETPLACE YTD**

**$1.82M**

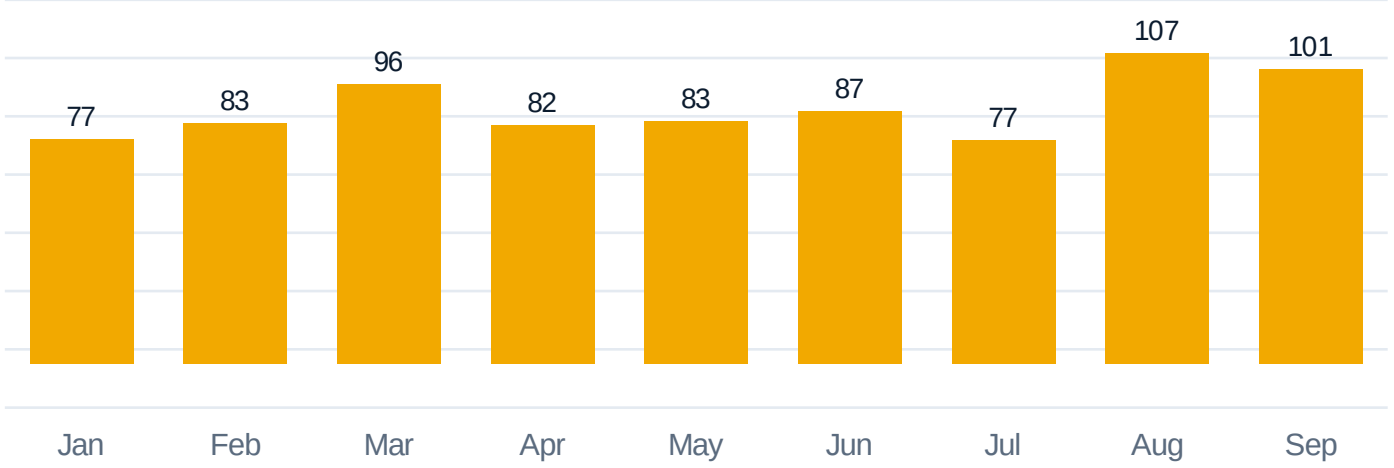
70% of the AWS total

**IS THE DIGITAL PLATFORM**

**51%**

prod + preProd + devTest

## Monthly consumption ($K)

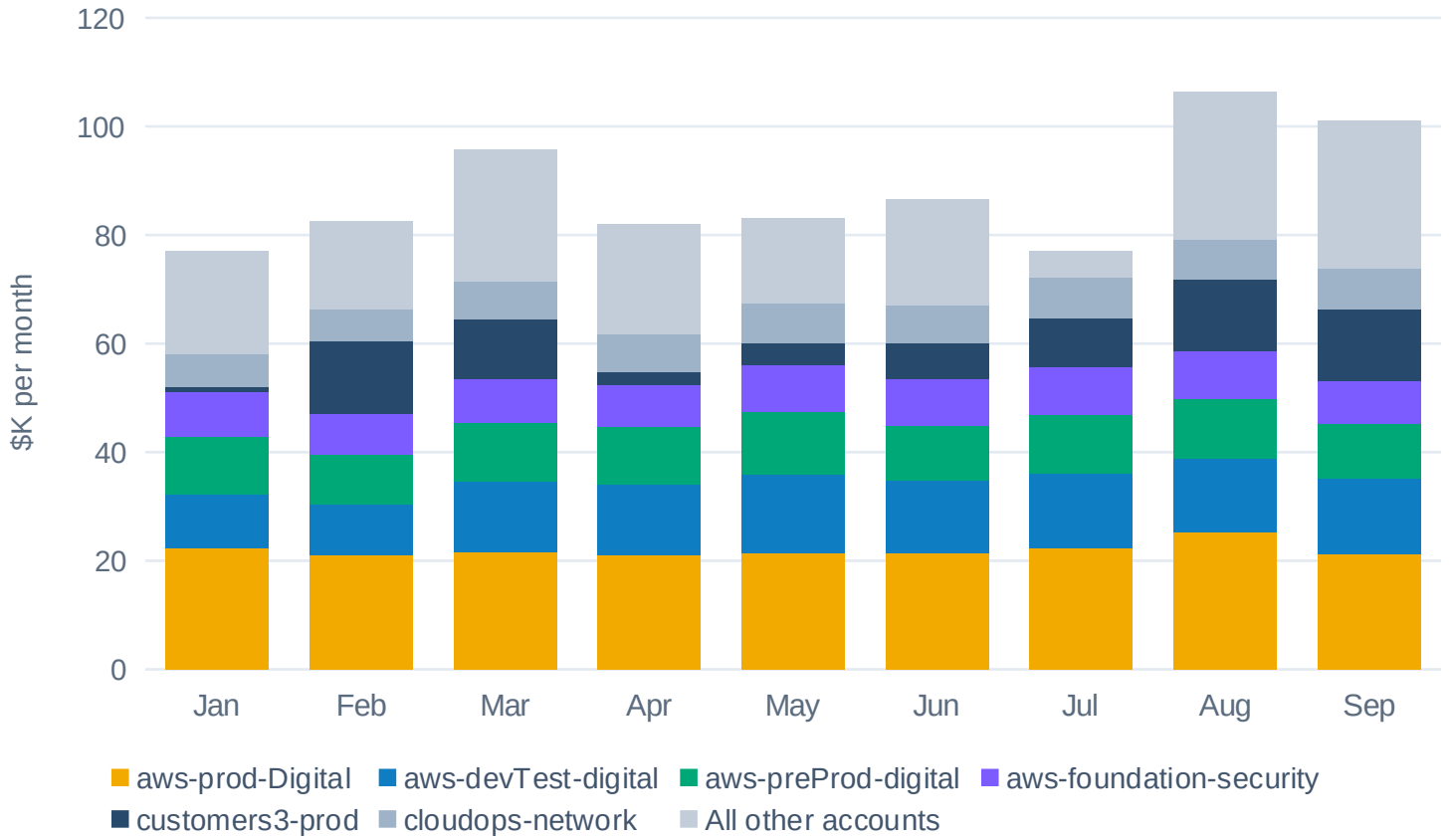



### What moved

- **July dipped to $77K**
  A MAP contract credit of $15.3K landed on ai-factory-dev.
- **August peaked at $107K**
  Glacier Deep Archive and customers3-prod both stepped up.
- **September $101K**
  Steady; S3 archive growth continues.

*Consumption excludes Marketplace. Charges span two payer accounts; the Harel IL payer is $166K of the total.*

# The Digital platform is half of all AWS consumption



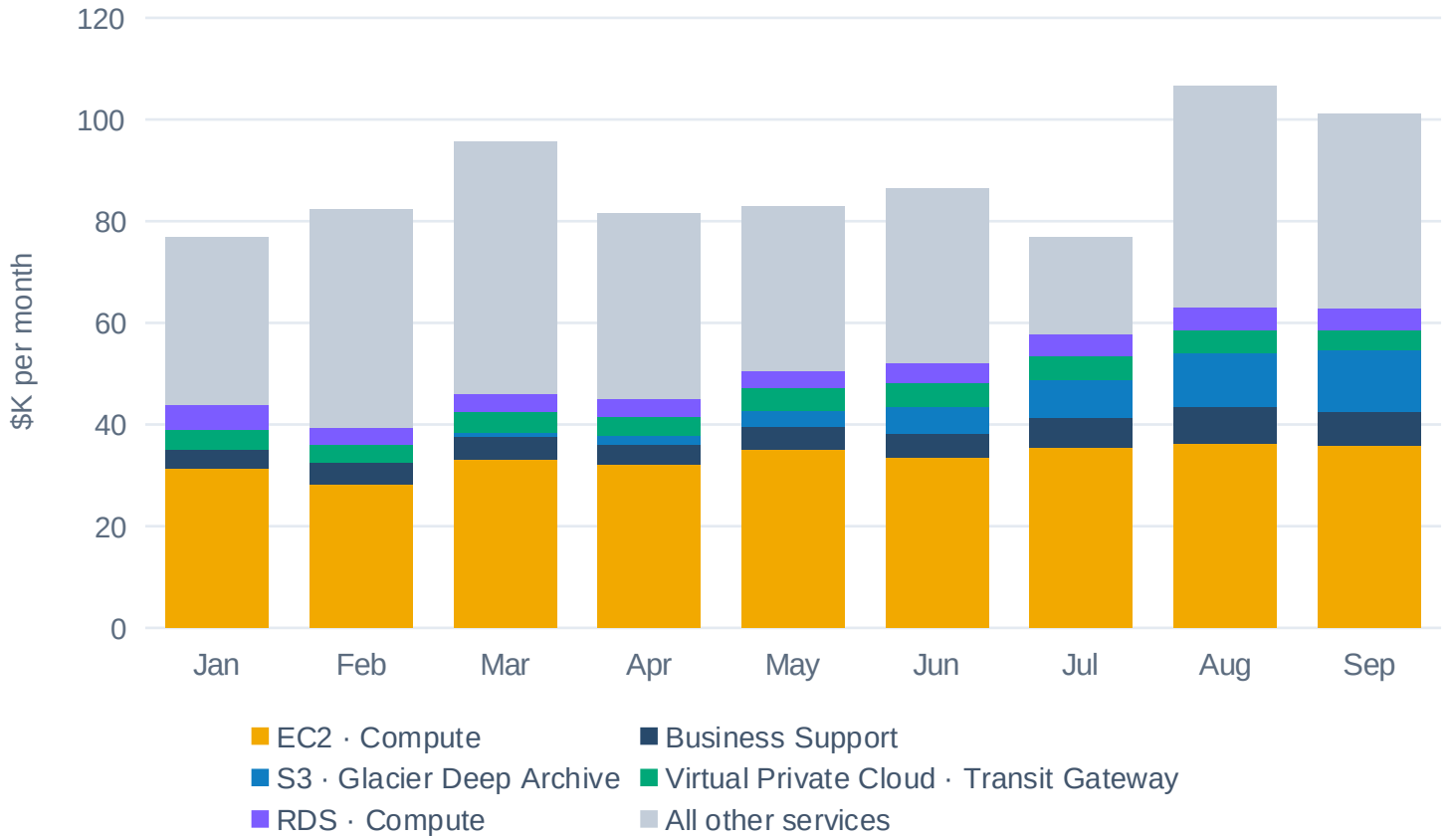

## Year to date by account

| | |
|---|---|
| aws-prod-Digital | **$198K** |
| aws-devTest-digital | **$114K** |
| aws-preProd-digital | **$95K** |
| foundation-security | **$74K** |
| customers3-prod | **$74K** |
| cloudops-network | **$62K** |
| Harel Insurance | **$59K** |
| foundation-shared | **$54K** |

**Top 3 Digital accounts = $407K**

*customers3-prod is the most volatile account — it swung between $0.9K and $13.5K a month.*

# EC2 compute is 38% of the AWS bill — and already 93% covered




## Year to date by service

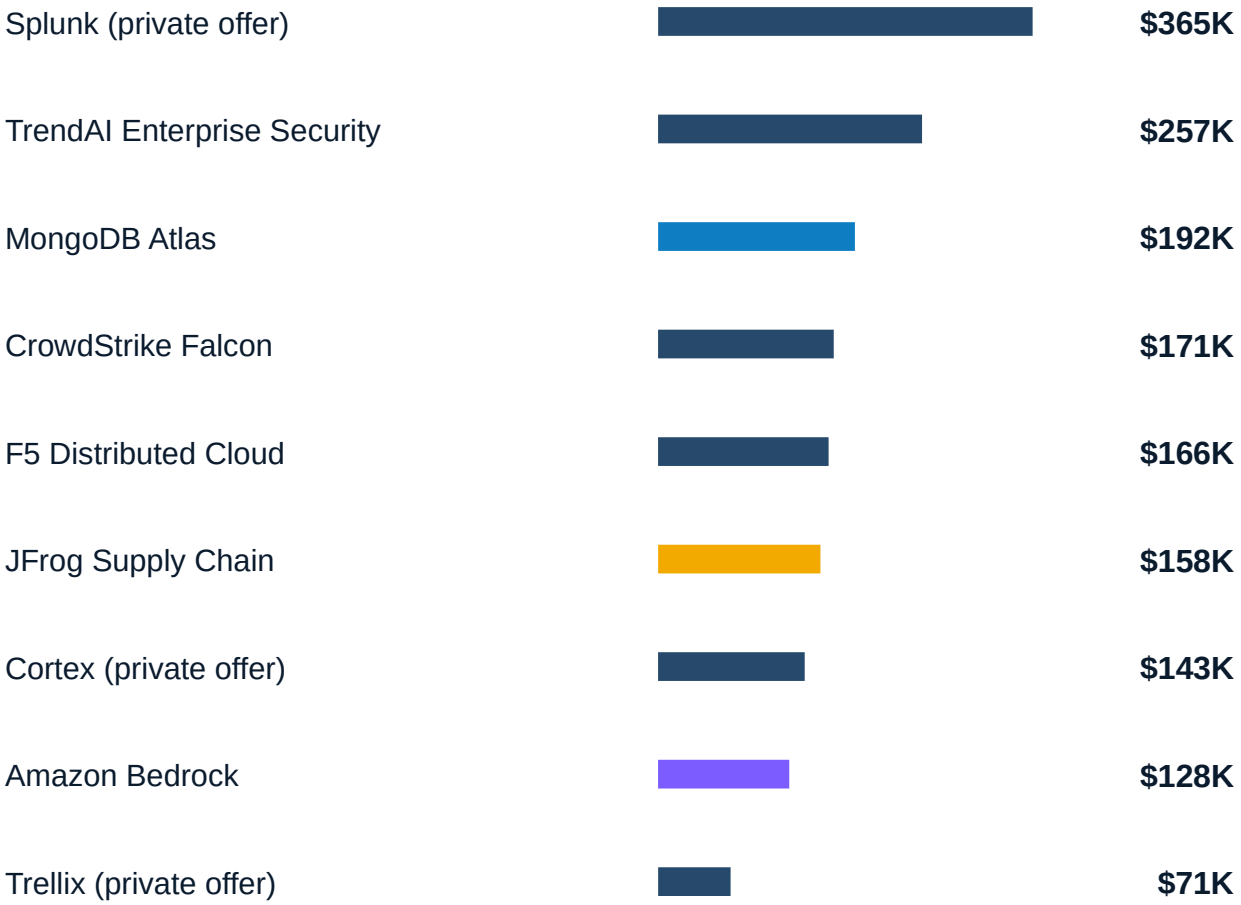
| | |
|---|---|
| EC2 · Compute | $300K |
| Business Support | $46K |
| S3 · Glacier Archive | $41K |
| VPC · Transit Gateway | $38K |
| RDS · Compute | $36K |
| S3 · Storage | $34K |
| Direct Connect | $33K |
| CloudWatch Logs | $29K |

**S3 archive grew $0 → $12K a month**

*Glacier Deep Archive started in February and is now the third largest AWS service line — worth a retention review.*

AWS MARKETPLACE

# Nine vendors carry 91% of the $1.82M Marketplace spend




*Marketplace charges are billed as contracts, mostly annual, so monthly comparison is not meaningful.*

MARKETPLACE YTD

**$1.82M**

70% of total AWS spend

NEW IN SEPTEMBER

**$158K**

JFrog Software Supply Chain

IS SECURITY TOOLING

**72%**

Splunk, TrendAI, CrowdStrike, F5, Trellix, Cortex, Fortinet

# 04




# Microsoft Azure

$2.05M year to date — the largest metered estate, growing every month since February, and the home of the Databricks commitment.

# Azure has grown every month since February — up 26% on January

**CONSUMPTION YTD**

**$1.51M**

$167K average per month

**SEPTEMBER**

**$198K**

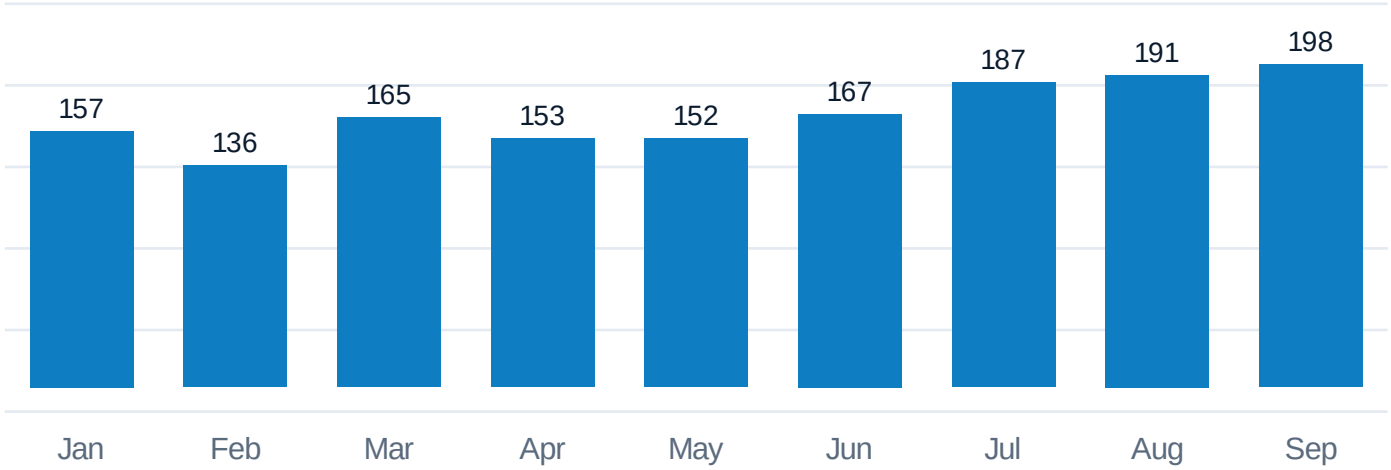
Highest month of the year

**MARKETPLACE YTD**

**$542K**

93% of it is Databricks

## Monthly consumption ($K)

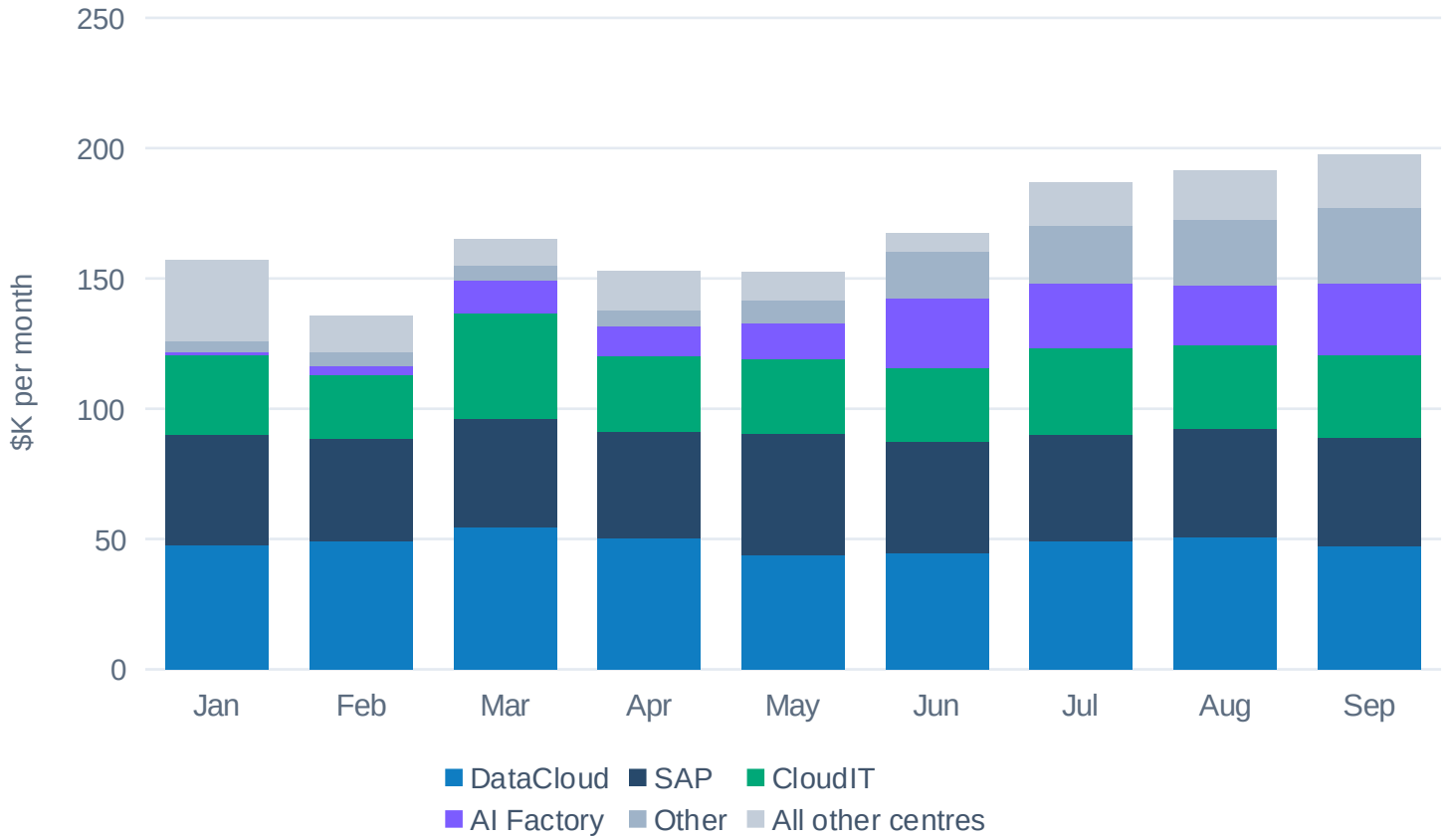



## What is driving it

- **AI Factory**
  $0.9K → $27.4K a month. The single biggest change.
- **GitHub**
  $6.5K → $28.4K since May, licences and AI credit.
- **CloudOps**
  $0.3K → $11.3K from July — new workloads landed.

*Consumption excludes Marketplace. The three classic cost centres — DataCloud, SAP and CloudIT — were flat to down.*

# Three cost centres hold 73% of Azure — AI Factory is the mover



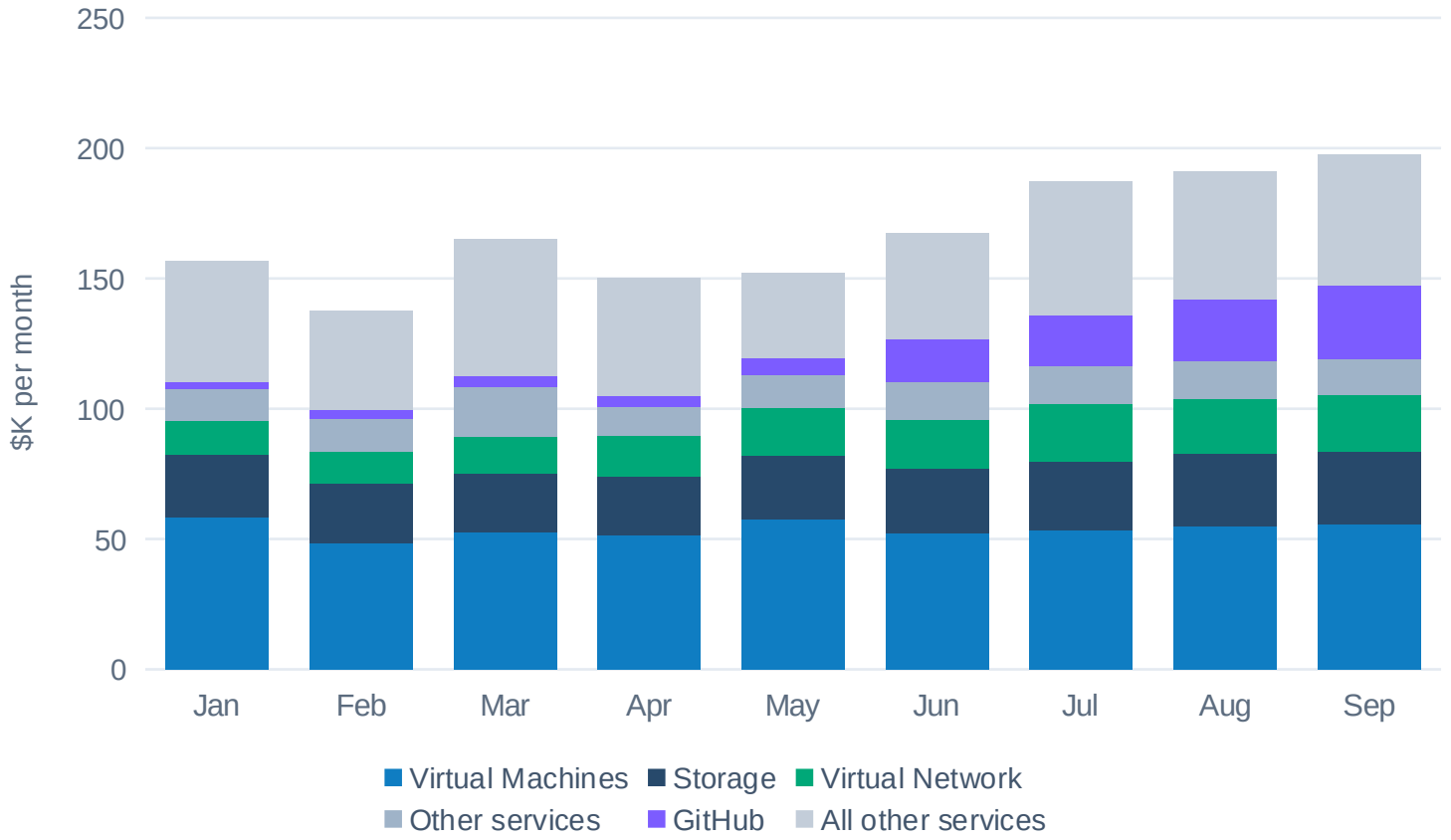

## Year to date by cost centre

| | |
|---|---|
| DataCloud | $437K |
| SAP | $377K |
| CloudIT | $280K |
| AI Factory | $144K |
| Other | $125K |
| Actuary | $49K |
| Risk Agility | $34K |
| CloudOps | $29K |

**AI Factory: $0.9K → $27.4K a month**

*DataCloud, SAP and CloudIT are stable; growth sits in AI Factory, CloudOps and the unallocated "other" bucket.*

# Core infrastructure is 57% of Azure — and that is the lever




## Year to date by service

| | |
|---|---|
| Virtual Machines | $484K |
| Storage | $224K |
| Virtual Network | $156K |
| Other services | $125K |
| GitHub | $110K |
| Databricks | $86K |
| Foundry Models | $76K |
| Foundry Tools | $44K |

**VMs alone are 32% of Azure spend**

*Virtual Machines, Storage and Virtual Network total $864K — the target for rightsizing, reservations and disk tiering.*

COMPUTE COVERAGE

# AWS compute is 93% covered; Azure is only 54%

## AWS — EC2 compute, September

Total $35,748




| | | |
|---|---|---|
| Spot | **$17,416** | 49% |
| Compute Savings Plan | **$15,837** | 44% |
| On-demand | **$2,495** | 7% |

**93%** of compute is on a discounted purchase option

## Azure — virtual machines, September

Total $55,576




| | | |
|---|---|---|
| On-demand | **$25,606** | 46% |
| Reservation | **$20,346** | 37% |
| Compute Savings Plan | **$9,120** | 16% |
| Spot | **$504** | 1% |

**54%** of compute is on a discounted purchase option

*Closing the Azure gap is worth $47K a year in identified VM reservation purchases alone — see the savings pipeline.*

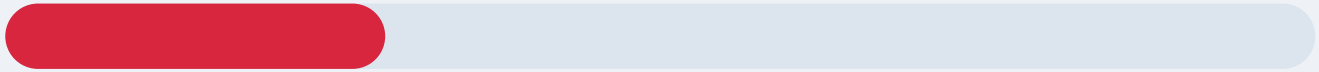
DATABRICKS COMMITMENT

# The $504K commitment is 29% used after five of thirty-six months

**Contract**

| | |
|---|---|
| Purchased | **28 April 2026** |
| Term | **3 years (P3Y)** |
| Product | **600,000 Databricks DBU hours** |
| Prepaid | **$504,000 via Azure Marketplace** |

**Cumulative utilisation at September 2026**



29% of DBU hours consumed

14% of the term elapsed

DATABRICKS LINE COST

**$0**

All usage draws down the prepaid commitment

PROJECTED EXHAUSTION

**Sep 2027**

At the current burn rate — two years early

SUPPORTING INFRA / MONTH

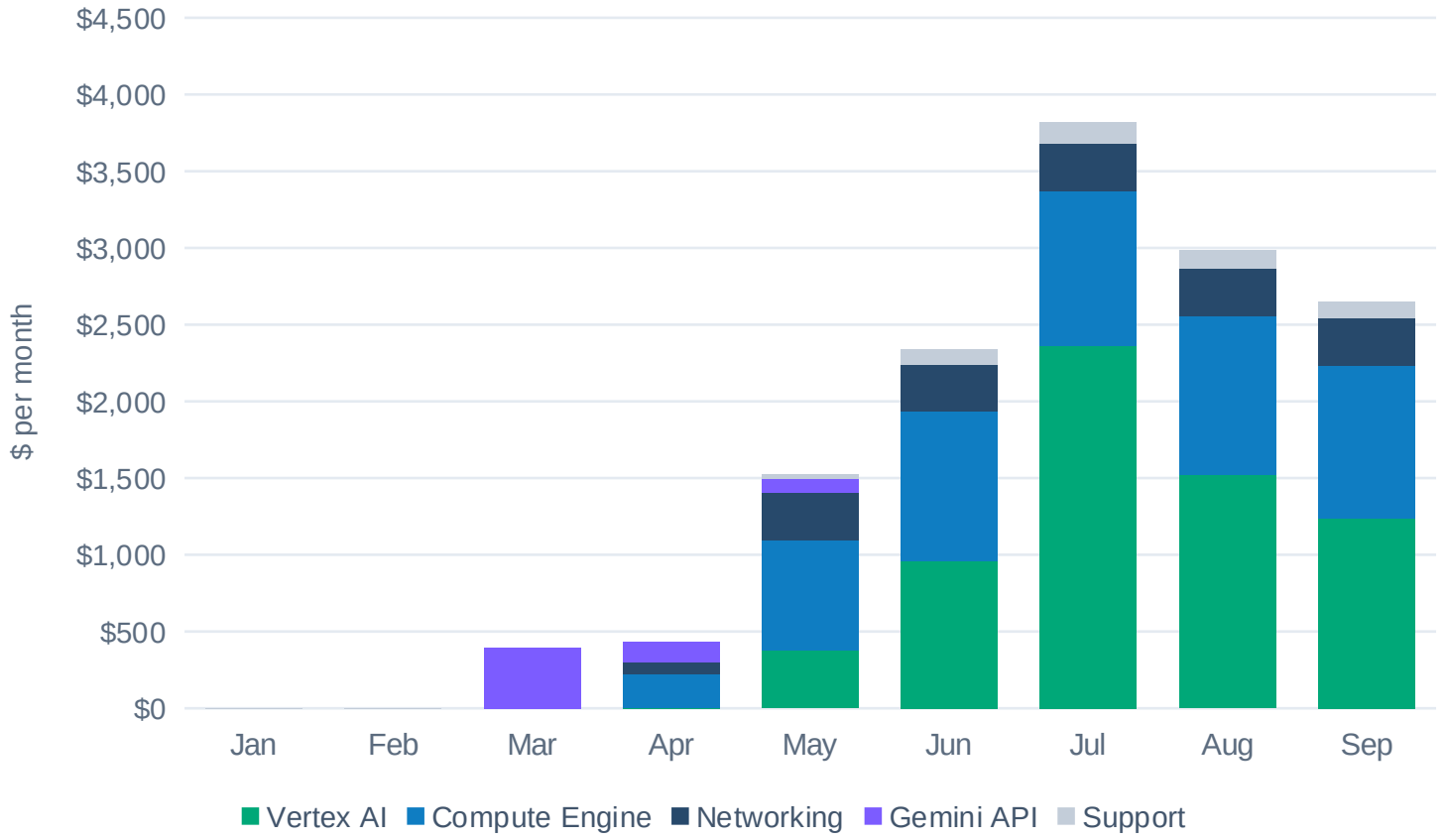
**$21.5K**

VMs, network and storage, outside the commitment

*Decision needed: top up the commitment in FY2027, or optimise the Classic / Serverless mix to extend it.*

GOOGLE CLOUD

# GCP is a $14K pilot — small, but almost entirely AI




Google Cloud

GCP YTD

**$13.5K**

Started March 2026

IS VERTEX AI + GEMINI

**52%**

Vertex $6.5K, Gemini $0.6K

*No commitment and no contract — GCP stays a pilot until a workload justifies a third platform. A negative "other services" line reflects credits applied during the pilot.*

# 05

# Savings delivered

$578K realised and avoided so far this year, with a further $190K identified and waiting on approval.

SCORECARD

# The FinOps programme has returned $578K against FY2026

REALISED SAVINGS

**$268K**

Cost removed from the running bill

COST AVOIDED

**$310K**

Increases caught before they landed

TOTAL RETURNED

**$578K**

25% of YTD metered consumption

IDENTIFIED PIPELINE

**$190K**

Approved actions not yet implemented

## WHERE IT CAME FROM

1 **Decommissioning**

Closing North Europe removed $70K a year of duplicated VMs, storage and gateways.

2 **Commitments**

VM reservations and a compute savings plan together returned $132K a year.

3 **Alerting**

Two spend alerts caught $291K of increases before they became permanent.

# Five actions produced 94% of the $268K realised

## Realised savings · annualised

| | |
|---|---|
| Decommission North Europe | $70K |
| VM reserved instances (Azure) | $67K |
| Compute savings plan (Azure) | $65K |
| Removed unnecessary VMs | $28K |
| Idle unattached disks | $21K |
| RDS reserved instances (AWS) | $8K |
| Unused SQL on expiring RI | $5K |
| SageMaker account clean-up (AWS) | $3K |
| App Service RI + RI refund | $1K |

## Cost avoided · annualised

| | |
|---|---|
| Alert — CloudWatch increase | $219K |
| Alert — ongoing E1 increase | $72K |
| RI renewal, blob storage | $9K |
| EKS extended support, pre-prod | $9K |
| RI renewal, Redis Cache | $1K |

### Why avoidance counts

These are increases our monitoring caught and stopped. They never reached an invoice, so they do not show as a reduction — but the budget would have carried them.

*All figures annualised. Realised $267,707 · avoided $309,973.*

SAVINGS PIPELINE

# $190K is identified and ready — 41% of it is reservations

## By business unit

| | |
|---|---|
| SAP | $80K |
| CloudIT | $35K |
| AI Factory | $34K |
| Data Cloud | $18K |
| Actuary | $8K |
| AWS (all accounts) | $7K |
| Azure Sandbox | $4K |
| CloudOps | $2K |
| ITSec | $1K |

## By type of action

| | |
|---|---|
| VM reserved instances | $47K |
| VM rightsizing | $31K |
| PostgreSQL reservations | $21K |
| Premium → standard disks | $21K |
| Scheduled shutdown of 24/7 VMs | $25K |
| Idle reserved disks | $13K |
| AKS reservations | $10K |
| Idle unattached disks | $7K |
| Other (AWS EC2, SQL, Redis) | $15K |

*Reservations and savings plans are $78K of the $190K — a purchase decision, not engineering effort.*

# 06

# Risks & next steps

Three items that affect the FY2027 budget, the FinOps roadmap, and the decisions we are asking for today.

RISKS

# Three things that will move the FY2027 budget

PRICING

## Azure raises prices on 1 February 2027

Microsoft is expected to lift on-demand VM pricing for v1 and v2 series by about 25%, with further regional increases in West EU, North EU, France, Norway and Singapore.

**Mitigation — reservations lock today's rate; buy the RI pipeline before February.**

**+$4,700**

per month

**+$56,400 a year**

Estimated on September usage

COMMITMENT

## The Databricks commitment burns out two years early

29% of the 600,000 prepaid DBU hours were consumed in the first five months of a thirty-six month term. At that rate the $504K commitment is exhausted around September 2027.

**Decision — top up in FY2027, or rebalance Classic and Serverless to extend the term.**

**Sep 2027**

projected exhaustion

**$504K prepaid**

29% consumed to date

AI RUN-RATE

## AI spend has no ceiling yet

AI reached $102K in September and is still climbing. Only GitHub AI credit has a budget with a hard stop; Foundry and Bedrock have neither a cap nor a quota.

**Mitigation — extend the GitHub budget pattern to Foundry and Bedrock.**

**$1.22M**

annualised at Sep run-rate

**11× since January**

34% of all consumption

ROADMAP

# The FinOps workplan for the next two quarters

| | משימה | סטטוס | אחראי |
|---|---|---|---|
| 1 | **פרויקט חיסכון והתייעלות**<br>מימוש תכנית Cloud FinOps — Rightsizing, Auto Shutdown ו-Reserved Instances | מתוכנן | אגף תשתיות |
| 2 | **הטמעת WIV.AI**<br>פלטפורמת ממשל וניטור עלויות ושימושים, ללא עלות רישוי | מתוכנן | אריאל אוראל |
| 3 | **תיוג משאבים לפי שירות**<br>השלמת תיוג לפי Service, Application, Cost Center ו-Environment לצורך Chargeback/Showback, כולל AI Gateway ו-AWS Bedrock | בתהליך | אריאל אוראל |
| 4 | **הטמעת AWS FinOps Agent**<br>ניתוח עלויות אוטומטי, זיהוי המלצות חיסכון ואופטימיזציה של שירותי AWS | מתוכנן | אריאל |
| 5 | **אופטימיזציית Databricks Commitment**<br>הגדלת ניצול חוזה ה-DBU, מעקב Utilization ואיזון Classic/Serverless | לקביעה | — |

*Owners and status as at the September 2026 FinOps review.*

THE ASK

# Three decisions we would like to close today

1

## Approve the reservation purchase programme

$78K a year of identified reserved-instance and savings-plan purchases across SAP, CloudIT, AI Factory and Data Cloud. Buying before February 2027 also locks pricing ahead of the Azure increase.

**Needs: capital approval · Owner: Cloud Infrastructure**

2

## Set an FY2027 envelope and controls for AI

Budget for roughly $1.3M of AI consumption, and attach the controls: hard-stop budgets on Foundry and Bedrock, a model-routing policy, and per-project quotas.

**Needs: budget line + policy sign-off · Owner: AI Factory + FinOps**

3

## Choose the Databricks path before Q1

Either top up the DBU commitment in the FY2027 plan, or fund an optimisation sprint on the Classic / Serverless mix to stretch the existing contract.

**Needs: a decision by December 2026 · Owner: Data Cloud + FinOps**

*Recommended by the Cloud Infrastructure, DevOps & Databases department for CIO decision.*

# Thank you

*Questions, and the detailed cost-centre views, are in the appendix.*

מחלקת תשתיות ענן, DevOps ובסיסי נתונים · אגף טכנולוגיות והגנת הסייבר

בשביל השקט הנפשי שלך

HAREL
Insurance & Finance

# A

# Appendix

Cost-centre and project detail, the North Europe decommission, and notes on how these figures were produced.

# Every Azure cost centre, January to September

**DataCloud** $437K



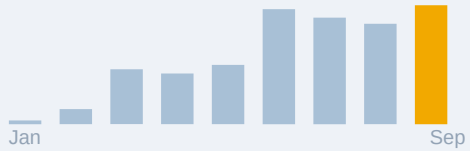

**SAP** $377K



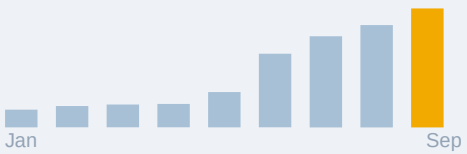

**CloudIT** $280K



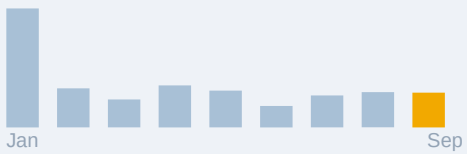

**AI Factory** $144K



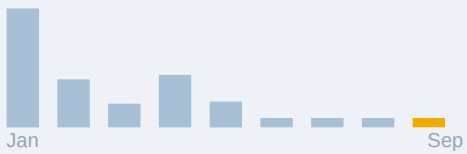

**Other** $125K




**Actuary** $49K




**Risk Agility** $34K




**CloudOps** $29K



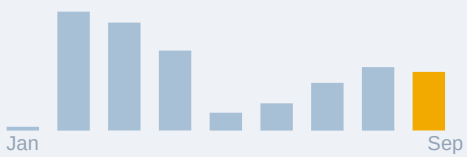

**ITSec** $19K



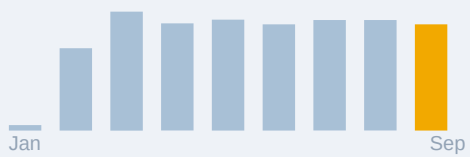

**Basasach** $7K




**Investments** $6K

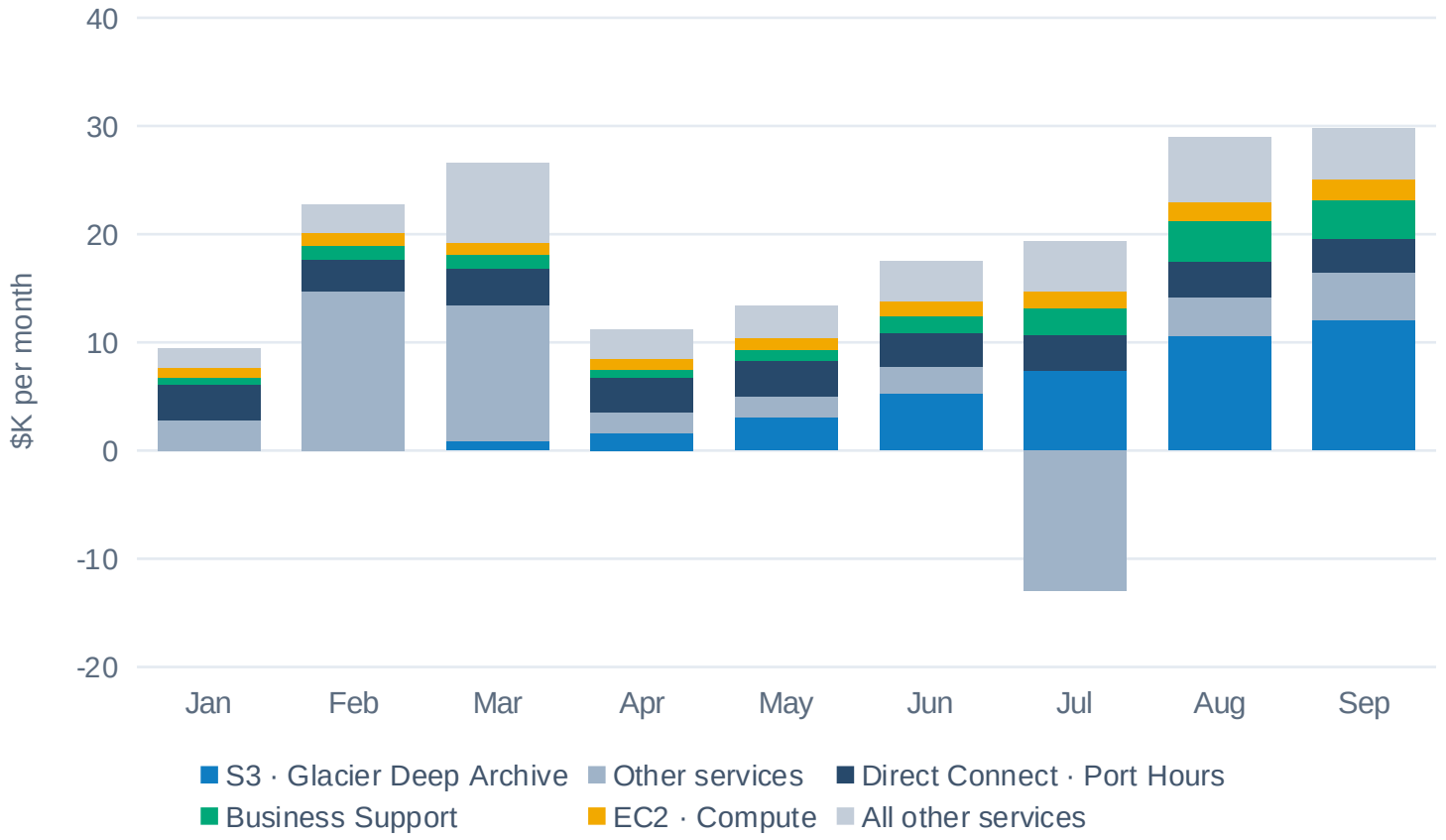



**Integration** $0.4K




*Each sparkline is scaled to its own maximum; September is highlighted. Totals are year to date.*

# The second AWS payer account is $166K year to date




## Year to date by service

| | |
|---|---|
| S3 · Glacier Archive | **$41K** |
| Other services | **$31K** |
| Direct Connect | **$29K** |
| Business Support | **$16K** |
| EC2 · Compute | **$12K** |
| S3 · API | **$11K** |
| VPC Endpoints | **$8K** |
| Transit Gateway | **$5K** |

**Glacier Deep Archive is 25% of it**

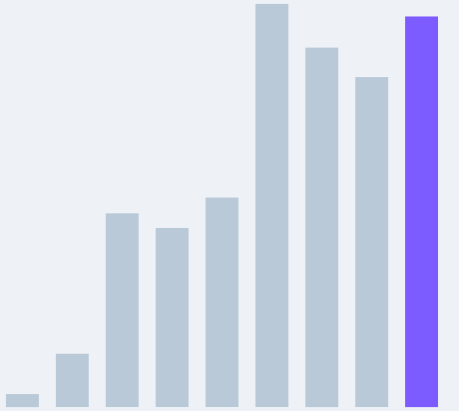
*Included within the $792K AWS consumption total shown in the main deck.*

# Monthly profile of the four AI Factory projects

### AI Factory core

**$139K**

year to date

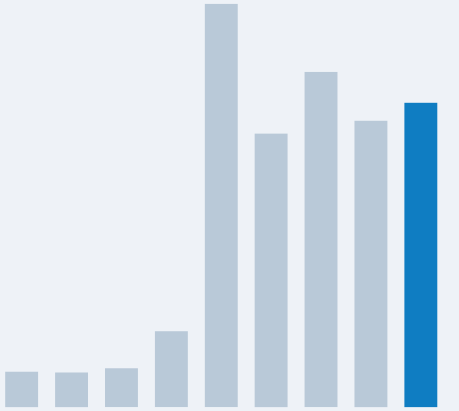



**September $25K**

### Solugen

**$47K**

year to date

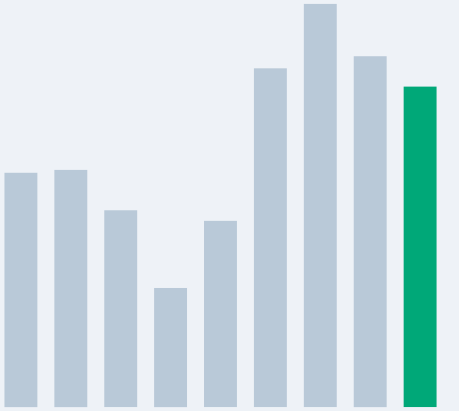



**September $8K**

### Document Intelligence (OCR)

**$43K**

year to date

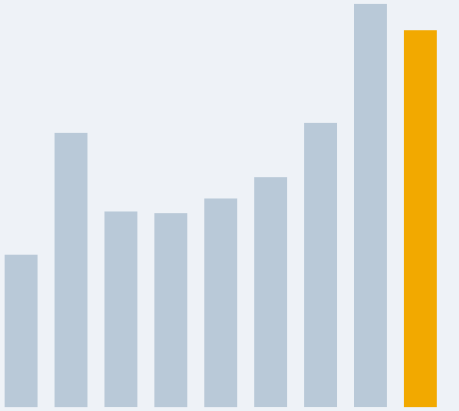



**September $6K**

### INSAIT

**$16K**

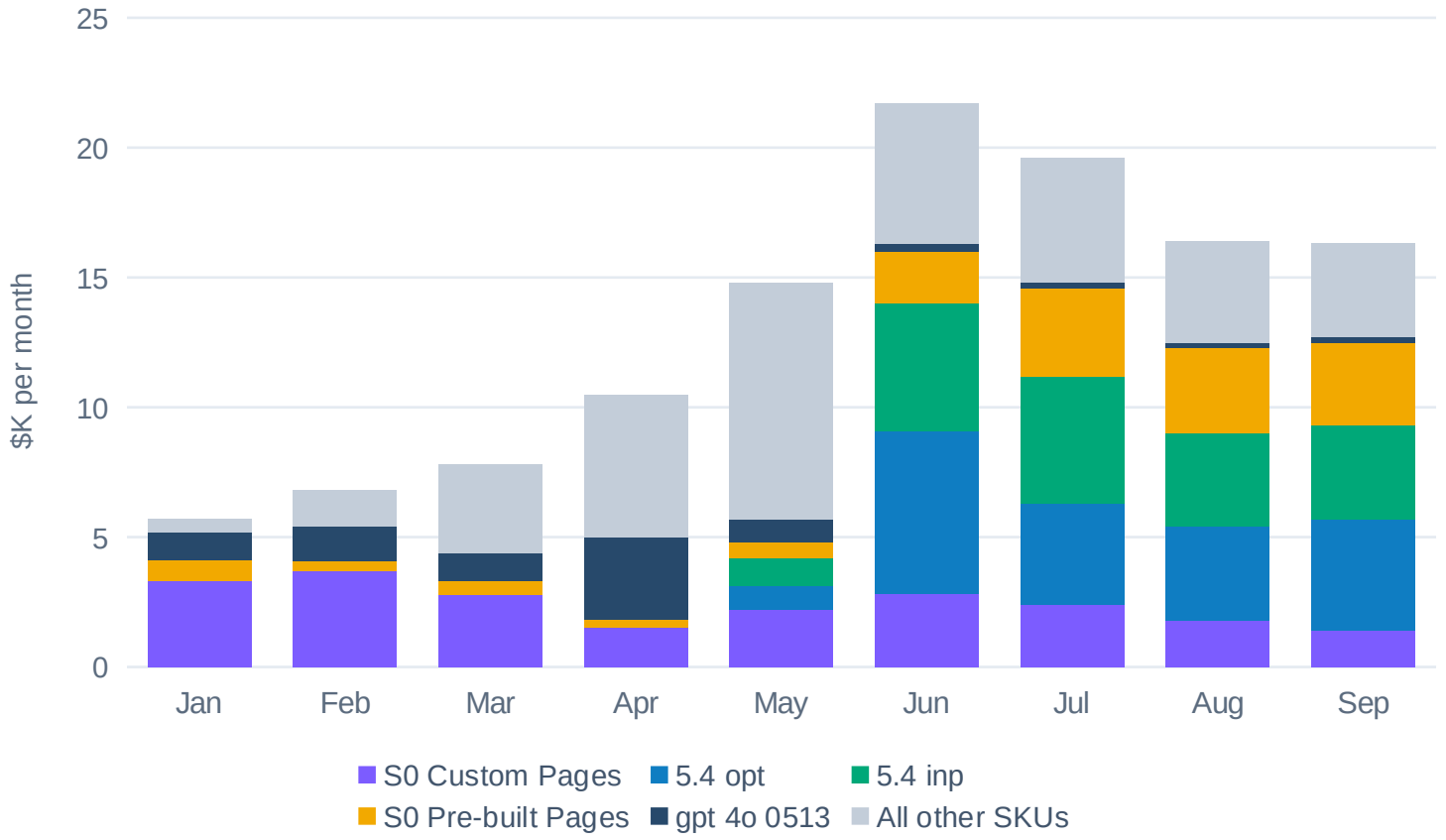
year to date




**September $3K**

*Sparklines are scaled to each project's own maximum month. Programme total $246K year to date.*

# Foundry models and tools: $120K across 37 SKUs




## Largest SKUs, year to date

| | |
|---|---|
| S0 Custom Pages | $22K |
| 5.4 opt | $19K |
| 5.4 inp | $18K |
| S0 Pre-built Pages | $15K |
| gpt 4o 0513 | $8K |
| gpt 4o 1120 | $7K |
| GPT 5 | $7K |
| GPT 5.1 | $5K |

*Document-intelligence page SKUs (S0 Custom / Pre-built / Add-on) and the 5.4 model family dominate.*

APPENDIX · NORTH EUROPE EXIT

# Decommissioning North Europe removed $5,871 a month

| Service | Prod | SAP Production | Shared Resources | Total |
|---|---|---|---|---|
| Virtual Machines | $154 | $1,661 | $550 | **$2,365** |
| Storage | $7 | $1,868 | $109 | **$1,984** |
| VPN Gateway | $930 | — | — | **$930** |
| Azure Site Recovery | — | — | $200 | **$200** |
| Azure DNS | $180 | — | — | **$180** |
| Virtual Network | $18 | $70 | $3 | **$91** |
| Bandwidth | $25 | $3 | $9 | **$37** |
| NAT Gateway | $35 | — | — | **$35** |
| Microsoft Defender for Cloud | $30 | — | — | **$30** |
| Load Balancer | $19 | — | — | **$19** |
| Automation | — | — | — | **—** |
| **Monthly total** | **$1,397** | **$3,601** | **$872** | **$5,871** |

ANNUALISED

**$70K**

$5,871 × 12

*The largest single realised saving of FY2026. Figures are the final month of North Europe consumption.*

# How these figures were produced

- **Period and currency**
  All figures cover 1 January – 30 September 2026 (nine months) and are stated in US dollars.

- **AWS payers**
  AWS is billed across two payer accounts. The Harel IL payer is $166K of the $792K consumption total.

- **Savings basis**
  Realised savings and cost avoidance are annualised run-rate impacts at the point of implementation, not year-to-date cash.

- **Sources**
  AWS Cost Explorer, Azure Cost Management, Google Cloud Billing and the GitHub billing portal, as extracted for the September 2026 review.

- **Consumption vs. committed**
  "Consumption" is metered usage. Marketplace and prepaid contracts are reported separately and are excluded from consumption totals unless stated.

- **Azure Marketplace**
  Marketplace charges sit under the Shared Resources subscription.

- **AI definition**
  AI services = Amazon Bedrock, Azure AI Foundry (models and tools), Microsoft Copilot Studio, Azure Cognitive Search, GitHub and Copilot, and GCP Vertex AI and Gemini.

- **Open reconciliation**
  Azure Marketplace sums to $542K here against $563K quoted in earlier reporting; the $21K difference is under review and does not affect the consumption figures.